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Spicy investing

Day trading, forex, options, crypto and NFTs ... I call them spicy trading as they don't fall under the rules of long-term investing, but they can still have space in an investor's portfolio under the section of speculative investments. Every responsible financial book will tell you to abstain from these, but this one will tell you that if you're going to try it (which you probably are), at least have all the facts and be safe.

There are a few assets that you can invest or speculate into, many of which you will probably learn about through social media. That doesn't mean to say they're all scams, but this chapter is going to cut through the noise and explain exactly what is involved, how you might possibly make money and how to actually invest in these 'spicier' assets.

Day trading

Day trading is the idea of buying a stock and selling it within a 24-hour period. Remember how stocks can fluctuate within a single day? Day traders attempt to take advantage of this market movement and buy stocks at lower prices and then sell them quickly. This requires being vigilant, often using day trading software to watch the movement of the market. It falls within the realm of what we used to assume investing looked like — someone staring at multiple screens with lots of graphs.

Day trading is buying into a stock when it is \$5 at 10 am and then selling it when it is \$11 at 12 pm. You end up profiting \$6, and then you take that \$6 and keep going with the hope that you keep adding more money and snowballing your profits.

Investors in training know that day trading may be a short-term option, but professional traders recommend never putting more than 1 per cent of your portfolio into a single trade due to the high level of risk involved.

Day trading isn't lucrative by any stretch of the imagination. Up to 95 per cent of traders fail to make a profit. It also requires a large amount of capital